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Case Number: 24PSCV02478 Hearing Date: July 22, 2026 Dept: G

Plaintiff Hakes Sash & Door, Inc.'s Motion
for Summary Adjudication

Respondent:

Defendant Construction Loan Services II, LLC

TENTATIVE

RULING

Plaintiff

Hakes Sash & Door, Inc.'s Motion for Summary Adjudication is GRANTED.

BACKGROUND

This

is an action for foreclosure of mechanic's lien. Defendant Brasada PH8, LLC (Brasada) allegedly entered into a direct contract agreement with nonparty Grandway Construction, LLC (Grandway), whereby Grandway allegedly agreed to construct a work of improvement on real property. Between February 2024 and April 2024, plaintiff Hakes Sash & Door, Inc. (Hakes) allegedly delivered and installed windows, finish carpentry, and related construction materials to Grandway, but Brasada failed to pay Hakes. Defendant Construction Loan Services II, LLC (CLS) was the alleged lender and holder of funds allocated for work on the real property.

On

August 2, 2024, Hakes file the Complaint, alleging causes of action for (1) foreclosure of mechanic's lien, (2) mechanic's lien release bond, (3) enforcement of stop payment notice, and (4) stop payment notice release bond.

On

January 15, 2026, Hakes dismissed Brasada.

On

December 17, 2025, Hakes filed this motion for summary adjudication. On March 24, 2026, CLS filed the opposition, and on April 1, 2026, Hakes filed the reply.

On April 13, 2026, the court continued the motion and requested supplemental briefing. On April 24,

2026, Hakes filed the supplemental opening brief. On May 11, 2026, CLS filed the supplemental opposition, and on May 18, 2026, Hakes filed the supplemental reply. On June 9, 2026, the court continued the motion and requested supplemental briefing.

On June 22, 2026, Hakes filed the second supplemental reply (internally labeled as a "supplemental brief"), and on July 7, 2026, CLS filed the second supplemental opposition (internally labeled as a "supplemental reply").

The

motion is set for a continued hearing on July 22, 2026.

REQUESTS

FOR JUDICIAL NOTICE

Hakes

requests that the court take judicial notice of facts relating to the causes of action asserted in the Complaint, the recording of the mechanic's lien, and the service of the Complaint. The court may take judicial notice of its own records and of facts and propositions that are not reasonably subject to dispute and are capable of immediate and accurate determination. (Evid. Code, § 452, subds. (d), (h).) Thus, the court takes judicial notice of the requested facts.

(With regard to the facts in the Complaint, the court takes judicial notice that Hakes alleged those facts in the Complaint but does not assume the truth of those facts.)

ANALYSIS

Hakes

moves for summary adjudication on the third cause of action. For the following reasons, the court GRANTS the motion.

Legal Standard

A

motion for summary judgment or adjudication provides “courts with a mechanism to cut through the parties’ pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute.” (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) In a motion for summary judgment or summary adjudication, “the initial burden is always on the moving party to make a prima facie showing that there are no triable issues of material fact.” (Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519.) It must be granted “if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law.” (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119, quoting Code Civ. Proc., § 437c, subd. (c).) A defendant moving for summary judgment or summary adjudication “has met [their] burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action . . . cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(2).)

To

establish a triable issue of material fact, the opposing party must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.) “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1).)

Discussion

Hakes

argues that it is entitled to judgment on the third cause of action for

enforcement of stop payment notice. The court agrees.

Upon

receipt of a stop payment notice, a construction lender "shall withhold from the borrower . . . sufficient funds to pay the claim stated in the notice." (Civ. Code, § 8536, subd. (a).) "The rights of a claimant who gives a construction lender a stop payment notice are not affected by an assignment of construction loan funds made by the owner or direct contractor, and the stop payment notice has priority over the assignment, whether the assignment is made before or after the stop payment notice is given." (Civ. Code, § 8544.) If the amount of the stop payment notice claim exceeds the amount of the undisbursed construction loan funds, then the lender is liable for amounts paid on the construction loan that were not for labor and materials used to improve the property. (See *Familian Corp. v. Imperial Bank* (1989) 213 Cal.App.3d 681, 687–688.) To enforce a stop payment notice, a plaintiff must prove that they (1) served a preliminary notice, (2) provided labor and materials to improve the property pursuant to their agreement, and (3) served a bonded stop payment notice. (Civ. Code, §§ 8028, 8048; 8102, subd. (a); 8200, subds. (a)–(b); 8202; 8204; 8404, subd. (b); 8414; 8502, subds. (a)–(b); 8508, subd. (b).)

Hakes's

evidence demonstrates that it served all required parties with the preliminary notice by mail. (UMF No. 7.) The evidence also shows that Hakes entered into direct contract agreements with Grandway, and under those agreements, supplied and installed windows, doors, and hardware on the property. (UMF Nos. 6, 8.) Finally, Hakes's evidence shows that it served

CLS with a bonded stop payment notice by mail.

(UMF No. 13.) Thus, the court

finds Hakes makes a prima facie showing that it may enforce the stop payment notice. The burden now shifts to CLS to

demonstrate a triable issue of fact whether Hakes may collect payment on the stop payment notice.

A stop payment notice "attaches only to funds

previously committed to finance construction of the improvement." (*Connolly Development, Inc. v. Super. Ct.* (1976) 17 Cal.3d 803, 826.) "The filing

of a stop notice in due time operates to impose a lien in favor of the claimant upon the fund in the owner's hands. . . .

If the stop notice be not filed in time so that there is no fund upon

which it can operate, then, of course, the attempt to impose the lien is inefficacious.” (Stettin v. Wilson (1917) 175 Cal. 423, 426.) In more simple terms, a stop payment notice only stops a lender from continuing to pay the borrower under the terms of the loan agreement; it does not create liability for the lender from a past loan. However, the stop notice claimant may recover payments the construction lender made to itself, even after the loan is fully paid, if those funds were previously committed to finance construction. (Brewer Corp. v. Point Center Financial, Inc. (2014) 223 Cal.App.4th 831, 847.)

Here, CLS’s evidence demonstrates that Brasada paid the loan in full on July 2, 2024. (AMF Nos. 25–26.) According to CLS, it did not receive the stop payment notice until August 12, 2024. (AMF Nos. 28, 30.) But before then, CLS paid itself a loan fee and interest from the construction fund. (UMF Nos. 16–17.) Civil Code section 8544 gives the stop notice priority over assignments, even if the assignment was made before the construction lender received the stop notice, and payments the lender makes to itself as a “loan fee” are considered such assignments. (See Brewer Corp., supra, 223 Cal.App.4th at 846, finding, “The loan servicing agreements that Lender entered into . . . constituted another type of assignment” within the meaning of Civil Code section 8544; see also id. at 845, allowing a court “to reach back to funds a lender has disbursed to itself as a source to pay stop notice claimants.”)

CLS’s testimonial evidence states that the construction fund no longer exists after Brasada paid the loan in full, but such evidence does not create a triable issue of fact that CLS did not pay itself a loan fee and interest from the construction fund. (UMF Nos. 16–17.) In its second round of supplemental briefing, Hakes contends that Brewer Corp. only permitted the stop notice claimant to recover the loan fee, which was based on a supplemental loan that was fully paid off, because the stop notice could attach to the underlying loan which was not yet paid off. (See 2d Supp. Reply, pp. 1–4.) However, the Court of Appeal in Brewer Corp. did not cite the nonpayment of the underlying loan to include the loan fee as part of the award; instead, the Court of Appeal found that the purpose of the supplemental loan was to finance construction, which meant that the stop payment notice could attach to the loan fee the lender already paid to itself. (See Brewer Corp., supra, at 847,

finding that the “evidence establishes that the loan was for the purpose of financing the construction of improvements on the property[,] [so] the trial court properly included the loan fee from the supplemental loan as part of its . . . award.”)

On this record, the court finds CLS fails to create a triable issue of material fact that Hakes cannot recover the loan fee and interest that CLS paid to itself.

Therefore, the court GRANTS the motion for summary adjudication.

CONCLUSION

For these reasons, the motion for summary adjudication is GRANTED.